

Retail Research	IPO Note
Sector: Drone Manufacturing	Price Band (Rs): 250 - 265
27 th June 2023	Recommendation: Subscribe for long term horizon

Cyient DLM Limited

Company Overview:

Established in 1993, Cyient DLM Limited is a prominent provider of Electronic Manufacturing Services (EMS) and comprehensive solutions. The company's core offerings encompass both Build to Print (B2P) and Build to Specification (B2S) services within the realm of Electronic Manufacturing Services. With B2P solutions, company diligently cater to their clients' requirements by leveraging their product designs, while employing agile and adaptable manufacturing capabilities. The company's B2S services entail the development of customized product designs in accordance with the specifications furnished by their esteemed clients, followed by efficient manufacturing processes to bring the envisioned product to fruition.

Key Highlights:

Comprehensive end-to-end Electronic Manufacturing Services (EMS) suite encompasses a diverse range of critical offerings: These include the assembly of Printed Circuit Boards (PCBs), the fabrication of cable harnesses, and the construction of box builds. These EMS solutions find paramount applications in safety-critical systems, such as cockpits, inflight systems, landing systems, and medical diagnostic equipment. By leveraging expertise in these areas, the company ensure the seamless integration and optimal performance of these vital components within the aforementioned systems.

Expertise in complex and regulated industries: Cyient DLM Limited excels in complex and regulated industries, specializing in safety-critical applications. The expertise in intricate electronic systems, specifically in cockpit and flight control systems, sets it apart from other players. The client seeking reliable and specialized EMS solutions in demanding industries choose Cyient as their preferred partner.

The company has strong order book and state-of-the-art manufacturing infrastructure: As of March 2023, the order book stands at Rs 2,432.5 crore which is 3x of its FY23 sales thus offers healthy revenue visibility in medium term. They operate three manufacturing facilities in India viz Mysuru, Hyderabad, and Bengaluru covering a total area of 2,29,061 square feet. These facilities are supported by a dedicated workforce of 656 highly skilled employees. It is worth noting that upon achieving full capacity utilization, the revenue has the potential to increase 3x compared of its FY23.

Long term relationships with esteem clients: The company has marquee clientele viz Honeywell International Inc., Thales Global Services S.A.S, ABB Inc, Bharat Electronics Limited, Molbio 152 Diagnostics Private Limited, and several others distinguished organizations. In FY23, repeat customers contributed 99.96% of the revenue while top customers, on average, have been with the company for 11 years. These partnerships reflect the company's commitment to providing exceptional services and solutions to a diverse range of esteemed clients across various sectors.

Valuation: At upper band, the business is trading at P/E multiple of 66.2x FY23 EPS. The IPO looks fairly valued across various valuation parameters when compared with its close peers. Investor can SUBSCRIBE the issue for long term investment horizon.

Issue Details	
Date of Opening	27 th June 23
Date of Closing	30 th June 23
Price Band (Rs)	250 - 265
Issue Size (Rs cr)	Rs 592 cr
No. of shares	2,36,80,000 – 2,23,39,623
Face Value (Rs)	10.0
Post Issue Market Cap (Rs cr)	2,015 – 2,100
BRLMs	Axis Capital, JM Financial
Registrar	KFin Technologies Limited
Bid Lot	56 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB (HNI) shares	15%
Employee Reservation	Rs 15 cr
Employee Discount	Rs 15

Objects of Issue	
	(Rs Cr.)
Funding incremental working capital requirements of our Company	291.0
Funding capital expenditure of our Company	43.5
Repayment/ prepayment, in part or full, of certain of our borrowings	16.1
Achieving inorganic growth through acquisitions	70.0
Net Proceeds*	-

*The net proceed to be used General corporate purpose.

Shareholding Pattern		
Pre Issue	No. of Shares	%
Promoter & Promoter Group	5,28,66,000	92.8
Public & Others	40,75,471	7.2
Total	5,69,41,471	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	5,28,66,000	65.6
Public & Others	2,77,55,471	34.4
Total	8,06,21,471	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	5,28,66,000	66.7
Public & Others	2,64,15,094	33.3
Total	7,92,81,094	100.0

Source: RHP, SSL Research

Risk factors

- The company is highly dependent on the top 10 customers, as they had contributed around 91.08% of the revenue.
- Majority portion of the revenue around 91% is dependent on the Mysuru plant.
- The profitability is dependent on stable raw material prices material constituted 79.8% of the total expenses as of March'23
- The company is dependent on Promoter and management team and key personnel and the loss of any key team member may adversely affect our business performance

Growth strategies

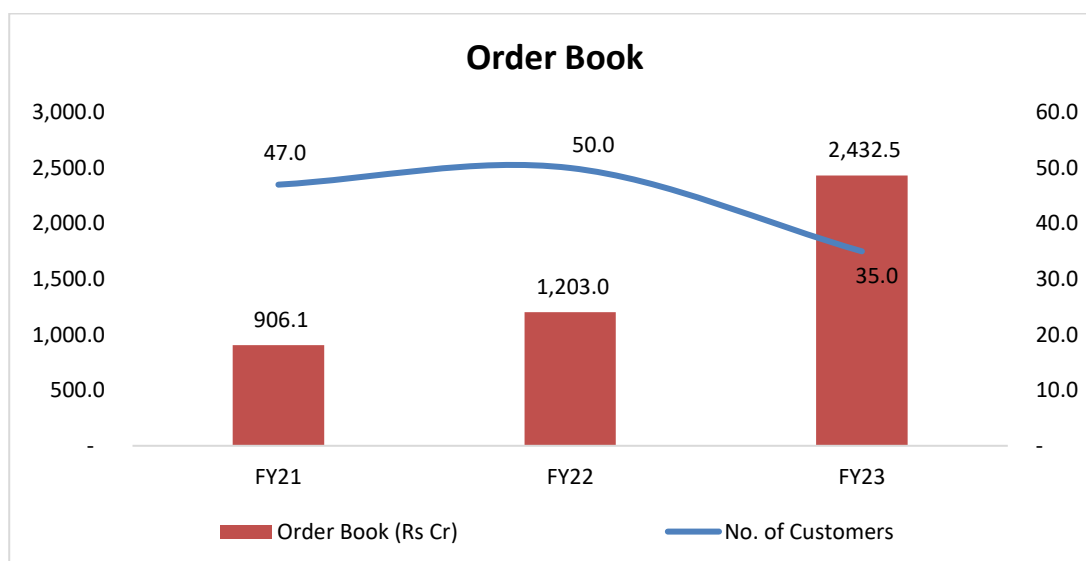
- Strengthening core capabilities across focus industries and building scale while taking on more B2S contracts
- Exploring inorganic opportunities to expand geographical footprint
- Enhancing capabilities in after-market and value-added services, and exploring new adjacencies
- Strengthening supply chain ecosystem and building on operational efficiency

Revenue from operation

Revenue Break-up	Revenue (Rs Cr)			% of Revenue		
	FY21	FY22	FY23	FY21	FY22	FY23
PCBA	380.0	456.5	521.0	60.50	63.35	62.62
Cable Harnesses	3.9	6.4	11.4	0.62	0.89	1.37
Box Builds	229.1	241.0	269.7	36.48	33.44	32.41
Others	15.0	16.7	30.0	2.39	2.31	3.60
Total	628.0	720.5	832.0	100.0	100.0	100.0

Source: RHP, SSL Research

Order book



Source: RHP, SSL Research

Top 5 Client Concentration

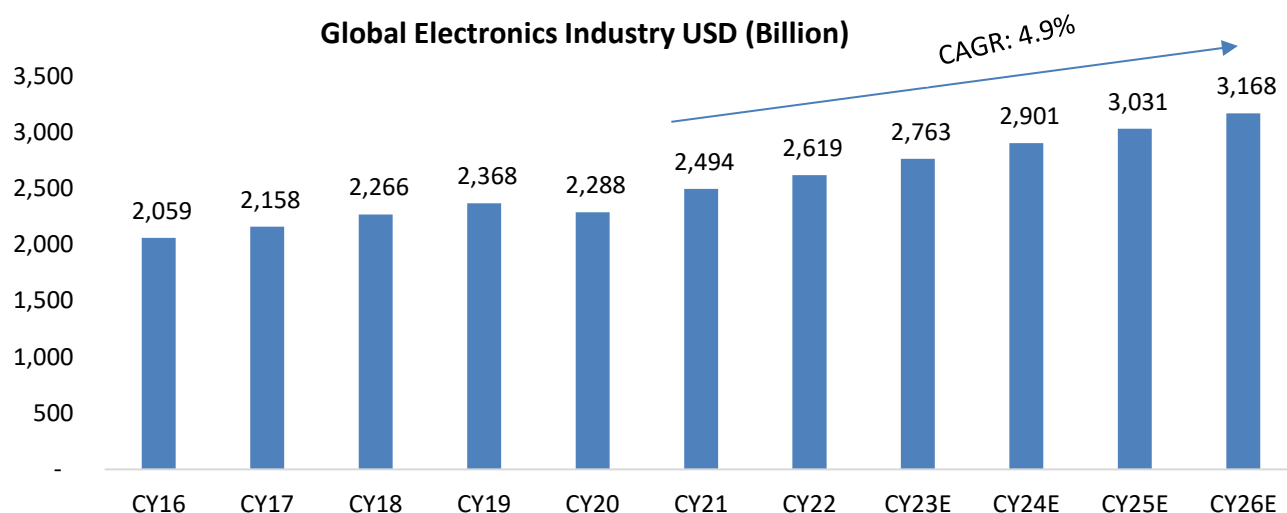
Client	Revenue (Rs Cr)			% of Revenue		
	FY21	FY22	FY23	FY21	FY22	FY23
ABB	43.2	78.6	179.4	6.9	10.9	21.6
BEL	86.7	108.6	88.7	13.8	15.1	10.7
Honeywell International	54.0	53.9	74.7	8.6	7.5	9.0
Thale Global Services	63.9	69.3	104.6	10.2	9.6	12.6
Molbio Diagnostics	103.1	51.5	24.1	16.4	7.2	2.9
Total	351.0	361.9	471.5	55.9	50.2	56.7

Source: RHP, SSL Research

Industry Overview

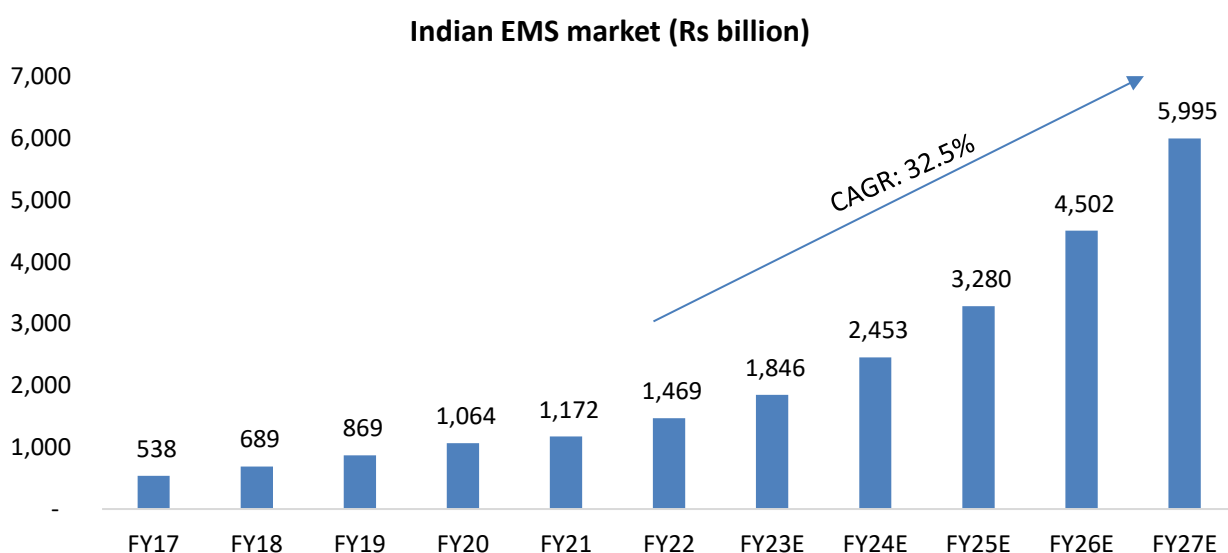
Global electronics industry

The overall electronics market is inclusive of electronics products, electronics design, electronics components, and electronics manufacturing services. The global electronics industry was valued at USD 2,288 billion in CY2020 and grew to USD 2,494 billion in CY2021. As per Frost & Sullivan's analysis, the industry is expected to grow at a CAGR of 4.9% to reach USD 3,168 billion by CY2026. Some of the critical factors driving this growth are increasing disposable income, improved acceptability of audio and video broadcasting, higher broadband penetration, the inclination of the youth towards next-gen technologies, emergence of e-commerce, rising demand from rural markets, etc.



Source: RHP, SSL Research

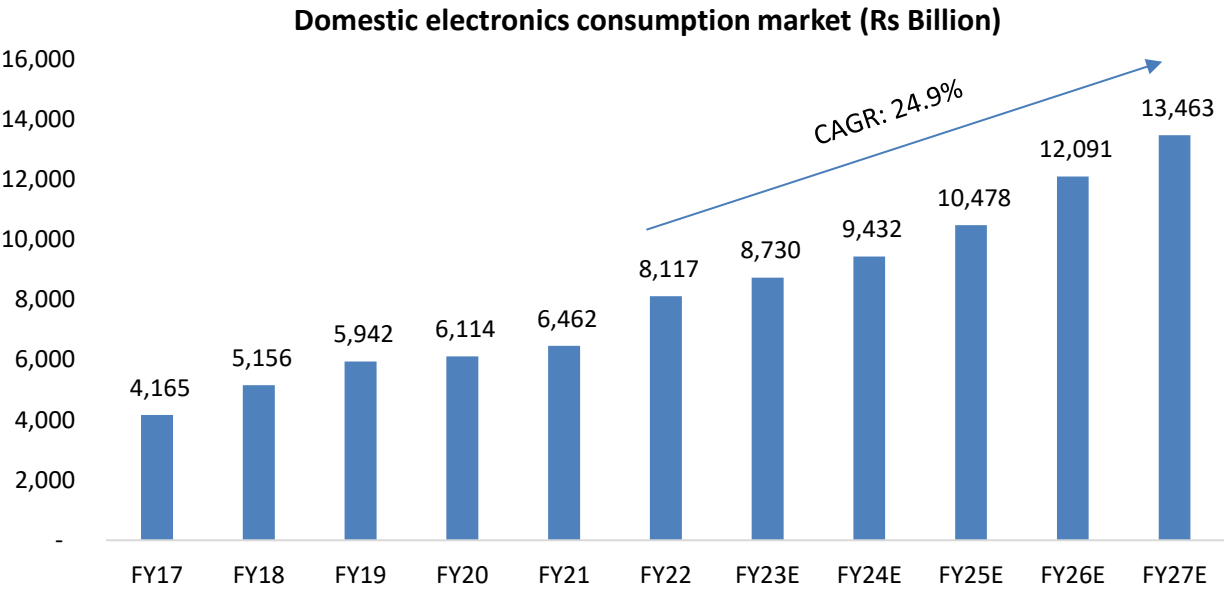
Indian EMS market



Source: RHP, SSL Research

Domestic electronic consumption market, India

The demand for electronic goods in India has grown significantly in recent years. The domestic electronics consumption market is estimated at Rs 8,117 billion (USD 109 billion) in FY22, expected to grow by 10.6% to reach Rs 13,463 billion (USD 181 billion) in FY27.



Source: RHP, SSL Research

Financial Snapshot

Cyient DLM Limited			
(Rs. Cr.)	Pre Issue	Post Issue	
	FY22	FY23	
Particulars		Price Band	
	265	250	265
Net Sales	720.5	832.0	832.0
Total Income	728.5	838.3	838.3
EBIDTA	84.0	87.8	87.8
PAT	39.8	31.7	31.7
Equity Share Capital	56.9	80.6	79.3
No of Equity Shares	5.7	8.1	7.9
Face Value	10.0	10.0	10.0
EPS	7.0	3.9	4.0
CMP	265.0	250.0	265.0
Cash and Bank	121.81	759.6	759.6
Debt	293.2	314.5	314.5
Market Cap	1,508.9	2,015.5	2,100.9
BV per share (Rs)	34.8	98.0	99.6
PE(x)	37.9	63.5	66.2
P/BV (x)	7.6	2.6	2.7
Enterprise Value	1,680.3	1,570.4	1,655.8
Mcap/Sales (x)	2.1	2.4	2.5
EV/Sales (x)	2.3	1.9	2.0
EV/EBIDTA (x)	20.0	17.9	18.9
EBITDA Margins (%)	11.7	10.6	10.6
Net Margins (%)	5.5	3.8	3.8
ROE (%)	23.1	6.4	6.4
ROCE (%)	16.5	9.2	9.2
Debt/Equity	1.5	0.4	0.4
Net worth	197.9	789.9	789.9

Source: RHP, SSL Research (Post Issue)

Year	FY21	FY22	FY23
Net Sales (Rs Cr)	628.0	720.5	832.0
EBITDA (Rs Cr)	45.9	84.0	87.8
Net Profit (Rs Cr)	11.8	39.8	31.7
EBITDA Margin (%)	7.3	11.7	10.6
Net Profit Margin (%)	1.9	5.5	3.8

Source: RHP, SSL Research (Post Issue)

Peer Comparison

Particulars (Rs cr)	Cyient DLM Ltd		DCX Systems	Kaynes Technologies	Syrma SGS Tech.
CMP (Rs)	250.0	265.0	258.2	1,559.4	446.6
M.Cap (Rs Crs)	2,015.5	2,100.9	2,497.4	9,080.7	7,886.1
Sales	832.0	832.0	1,228.5	1,126.1	2,048.4
EBITDA	87.8	87.8	88.0	168.3	187.8
Net Profit	31.7	31.7	77.8	95.2	119.3
PE (x)	63.5	66.2	32.1	95.4	66.1
EBITDA Margin (%)	10.6	10.6	7.2	14.9	9.2
RoE (%)	6.4	6.4	22.7	16.4	11.3

(Source: RHP, SSL Research)

CMP is based on closing price as of 22nd June 2023. For Cyient, the valuation is based on Lower and Upper price band

For Cyient DLM Limited: The data is based on FY23 post-issue market cap. For all others, the data is based on FY23.

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